City Council Meeting: July 14, 2026 Santa Monica, California

RESOLUTION NUMBER _____ (CCS)

(City Council Series)

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF SANTA MONICA SUBMITTING TO THE VOTERS A MEASURE TO AMEND ARTICLES XXIII AND XVIII OF THE CITY CHARTER TO REAFFIRM APPLICATION OF LOCAL JUST CAUSE EVICTION LAWS, UPDATE TERM LIMIT PROVISIONS FOR RENT CONTROL BOARD COMMISSIONERS, UPDATE AND CLARIFY PROCEDURES FOR INCREASING THE MAXIMUM ANNUAL RENT CONTROLLED RENTAL UNIT REGISTRATION FEE, CLARIFY RENT CONTROL BOARD AUTHORITY TO REGULATE TIME LIMITS FOR DECIDING INDIVIDUAL RENT ADJUSTMENT PETITIONS, AND ADD REQUIREMENTS FOR OWNERS TO EVICT TENANTS FOR NONCOMPLIANCE WITH AFFORDABLE HOUSING DEED RESTRICTIONS

WHEREAS, the City's Rent Control Law (Article XVIII of the City Charter, also referenced as "RCCA") provides for an elected Rent Control Board, with authority to carry out its duties of regulating rent controlled rental units independently including by financing its operations through registration fees sufficient to cover its reasonable and necessary expenses; and

WHEREAS, in 2026, a subcommittee of the Rent Control Board ("Board") developed proposals for targeted updates to the RCCA to improve clarity, administrative efficiency, and alignment with current practices, retaining the core structure and substantive framework of the existing RCCA provisions while providing additional precision in specific areas; and

WHEREAS, City Charter Section 1803(e) currently limits Board Commissioners to two terms and establishes four-year terms but does not expressly address whether appointed terms count toward that limit; and

WHEREAS, City Charter Section 600 allows City Councilmembers to serve up to three terms and applies term limits to both elected and appointed service; and

WHEREAS, aligning Board Commissioner term limits with City Council term limits

would promote consistency across City governance structures, eliminate ambiguity regarding how prior Board service is counted, and supports continuity and institutional knowledge among Board Commissioners, all while maintaining reasonable limits on tenure; and

WHEREAS, in 2014, the voters approved a Charter amendment establishing a maximum allowable annual registration fee of $288 per rent controlled unit and allowing up to fifty percent (50%) of that fee to be passed through to tenants; and

WHEREAS, the 2014 amendment established the concept of a voter-approved maximum fee but did not provide a mechanism for adjusting that maximum fee over time, other than through voter approved amendments when the Board's budgetary needs approached the fee cap; and

WHEREAS, allowing for the maximum allowable fee to be increased by CPI, subject to a 5% cap, and without requiring a voter-approved charter amendment each time the maximum allowable fee is increased, while clarifying that the maximum allowable fee is a limit and not the fee actually established by the Board, would improve flexibility in setting the annual registration fees and would reinforce that fee-setting remains a policy decision of the Board within voter-established limits; and

WHEREAS, the Board has adopted regulations consistent with the directive in Charter Section 1805(d)(12) to adopt rules and regulations governing the processing of individual rent adjustment petitions, by adopting regulations that establish procedures for processing petitions, including timing provisions and mechanisms that allow for additional time for petitions to be processed where appropriate; and

WHEREAS amending Charter Section 1805(d)(12) to expressly recognize that the Board's regulations shall govern both the general timeframe for resolution and the

circumstances under which additional time may be appropriate would improve transparency regarding how petition timing is administered, while preserving the Board's authority to adopt and apply regulations governing petition procedures; and

WHEREAS, Santa Monica rent control generally does not apply to residential rental units constructed after April 10, 1979; and

WHEREAS, since 1979, new affordable rental housing has primarily taken the form of deed restricted affordable housing, where developers agree to long-term maximum rent restrictions and tenant income qualifications in exchange for financial and other incentives; and

WHEREAS, many deed restricted affordable housing units have been constructed in exchange for funds and planning concessions provided by the City of Santa Monica; and

WHEREAS, the City only obtains its bargained-for benefit of affordable rental housing if these deed restricted affordable housing units are actually occupied by income-qualified moderate and low-income households who are paying no more than the maximum allowable rent permitted by the affordable housing deed restriction; and

WHEREAS, audit and enforcement efforts have shown substantial and recurring violations of affordable housing deed restriction requirements, including the renting of affordable units to over-income households, households who do not meet minimum occupancy requirements (such as a one-person household in a three-bedroom affordable unit), and other kinds of prohibited tenants, such as business associates and family members of owners and property managers; and

WHEREAS, the City's Below Market Housing (BMH) Program, which oversees and administers deed restricted affordable housing units, generally requires landlords and

property managers of affordable housing units to execute affordable housing lease addenda making qualifying under the applicable deed restriction and providing income qualification documentation to show qualification substantial and material parts of the rental agreement, such that non-qualification under the deed restriction, refusal to provide income qualification documentation, or otherwise causing a violation of the deed restriction would constitute a breach of the rental agreement and would provide just cause for eviction; and

WHEREAS, despite this requirement, there have been substantial and recurring violations of this requirement such that over-income or otherwise unqualified households are living in affordable housing units and preventing these units from being used to house moderate or low-income households who need them but, because the landlord did not make compliance with the deed restriction a substantial and material term of the tenant's rental agreement, there may not be lawful just cause to evict these unqualified tenants; and

WHEREAS, the status quo favors less scrupulous affordable housing landlords who have not executed affordable housing lease addenda by allowing them to argue that they cannot evict over-income tenants and therefore disfavors more scrupulous landlords who have enacted affordable housing lease addenda and therefore can and must take on the cost of evicting unqualified tenants in order to comply with the applicable affordable housing deed restriction; and

WHEREAS, the City's policy regarding over-income tenants in deed restricted affordable housing units as set forth in the Affordable Housing Production Program Administrative Guidelines balances the goals of housing stability and of providing affordable units to lower-income households who need them, including by allowing

tenants who initially qualify but subsequently have their income increase above the qualifying amount to remain in their unit unless and until they exceed 140% of the applicable maximum income, by giving tenants whose income increase beyond the applicable threshold priority for other available affordable units, and by requiring longer notice periods for certain over-income tenants to vacate; and

WHEREAS, it is fair to give affordable housing unit tenants reasonable notice regarding the requirement to provide income qualification documentation before endeavoring to evict them but not fair to allow tenants to occupy scarce affordable housing units needed by many low-income households if they are deliberately refusing to provide income qualification documentation on an ongoing basis; and

WHEREAS, state law requires an explicit finding that local eviction protections are more protective than the state law baseline under California Civil Code Section 1946.2 in order for local eviction protections to be operative and enforceable; and

WHEREAS, the eviction protections in the RCCA and HPCA are more protective than the state law baseline under California Civil Code Section 1946.2 and the purpose of adopting these provisions is so they will apply locally; and

WHEREAS, the Board has heard input from the public on the feasibility and desirability of the additions and amendments to the RCCA and discussed herein; and

WHEREAS, in light of the foregoing recitals, the Board has recommended amendments to the RCCA as set forth in the transmittal letters dated June 16 and June 29, 2026 and attached hereto as Exhibit 1; and

WHEREAS, the City Council has considered and approved the Board's recommendation because these amendments are in the public interest as they would ensure continued application of the City's just cause eviction framework, improve clarity

of Board practices, administrative efficiency, and alignment with current Board practices; and protect the integrity of deed restricted affordable housing while not unduly infringing on affordable housing tenants' rights; and

WHEREAS, after consideration of the Board's recommendation, the City Council desires the City Charter be amended at both Article XVIII and Article XXIII to maintain consistency of "just cause" for eviction protections that apply to both controlled and non-controlled rental units in the City.

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF SANTA MONICA DOES RESOLVE AND PROCLAIM AS FOLLOWS:

SECTION 1. At the General Municipal Election called for November 3, 2026, the following measure shall be submitted to the qualified electors of the City of Santa Monica:

MEASURE " ": Shall the City Charter be amended to: affirm the City of Santa Monica's just cause eviction laws; allow Rent Control Board Commissioners to serve up to three terms, including appointed service; annually increase the cap on rent controlled unit registration fees; clarify Rent Control Board authority to regulate timelines for deciding rent adjustment petitions; and permit eviction from affordable housing units for tenants who are not eligible or do not establish eligibility?	Yes _____ No _____

SECTION 2. That the City Clerk shall file a certified copy of this resolution with the Board of Supervisors and with the county election department of the County of Los Angeles.

SECTION 3. That the City of Santa Monica recognizes additional costs may be incurred by the County by reason of the addition of this measure to the ballot and agrees to reimburse the County for any additional costs.

SECTION 4. The City Clerk shall transmit to the City Attorney, in accordance with applicable law, a copy of the proposed measure. The City Attorney shall prepare an

impartial analysis of the measure, which shall not exceed 500 words in length. The impartial analysis for the measure shall be filed by the date set by the City Clerk for the filing of primary arguments. In accordance with applicable law, not less than 10 calendar days before the City Clerk submits the official election materials for printing, the City Clerk shall make a copy of all applicable elections materials available for public examination in the City Clerk's office.

SECTION 5. The City Council authorizes its members, as follows, to file written arguments for or against the measure described above and which is contained in Exhibit 2 to this Resolution, which Exhibit is incorporated by reference herein:

FOR: _____

AGAINST: _____

All written arguments filed by any person in favor of or against the measure, including any rebuttal arguments, shall be accompanied by the names and signatures of the persons submitting the argument as required by applicable law, and any names, signatures, and arguments may be filed until the time and date fixed by the City Clerk in accordance with applicable law, after which no change may be submitted to the City Clerk unless permitted by law.

SECTION 6. The City Clerk shall cause the text of the measure, which is contained in Exhibit 2, together with the City Attorney impartial analysis, and any arguments for or against the measure, as well as any rebuttals, to be mailed to all qualified voters with the sample ballots. In addition to other notices and publications required by law, the City Clerk, not less than forty (40) days and not more than sixty (60) days before the General Municipal Election, shall cause the text of the measure to be published once in the official newspaper and in each edition thereof during the day of publication. The City Clerk is

authorized to give such notices and to fix such times and dates as are required by law or which are appropriate to conduct properly the election.

SECTION 7. The provisions of Resolution Numbers 11763 and 11764 are referred to and incorporated into this resolution for more particulars concerning the conduct of the General Municipal Election to be held on November 3, 2026, and in all respects the election shall be held and conducted as provided for by applicable law. The City Clerk is authorized and directed to procure and furnish any official ballots, notices, printed materials and all supplies or equipment that may be necessary in order to properly and lawfully conduct the election.

SECTION 8. The City Clerk shall certify to the adoption of this Resolution, and thenceforth and thereafter the same shall be in full force and effect.

APPROVED AS TO FORM:

_____
HEIDI VON TONGELN
City Attorney

EXHIBIT 1

Rent Control Board
1685 Main Street, Rm. 202
Santa Monica, CA 90401
Phone: 310-458-8751

June 16, 2026

Mayor Caroline Torosis and Members of the City Council
1685 Main Street, Room 209
Santa Monica, CA 90401

Re: Proposed Charter Amendments Concerning Commissioner Term Limits, the Registration Fee Framework, and the Petition Decision Timeline

Dear Mayor and Councilmembers,

At its June 11, 2026 meeting, the Santa Monica Rent Control Board voted to recommend that the City Council place three proposed amendments to Article XVIII of the City Charter before the voters at the November 2026 general election.

The proposed amendments would:

1. Revise the Charter's term-limit provision for Rent Control Board Commissioners;
2. Update and clarify the Charter's registration fee framework while preserving the Board's discretion to set the actual annual registration fee through its regular budget and fee-setting process; and
3. Clarify that the Board's rules and regulations may allow extensions, for good cause, of the 120-day timeline for final action on individual rent adjustment petitions.

The Board believes these amendments are in the public interest because they would improve clarity, administrative efficiency, fiscal stability, and consistency with the Board's current operational needs while preserving the core structure and tenant protections of Article XVIII.

The attached staff report and proposed Charter amendment language explain the amendments in greater detail. If there is anything the Board or staff can do to assist the Council in its consideration of these proposals, please let me know.

Sincerely,

Jonathan Holub

Jonathan Holub, Executive Director

cc: Oliver Chi, City Manager
Heidi Von Tongeln, City Attorney
Denise Anderson-Warren, City Clerk
Kevin Mitchell, General Counsel
Rent Control Board Commissioners

SANTA MONICA RENT CONTROL BOARD MEMORANDUM

TO: Santa Monica Rent Control Board

FROM: Jonathan Holub, Executive Director

FOR MEETING OF: June 11, 2026

RE: Public Hearing to Consider Proposed Charter Amendments Concerning Commissioner Term Limits, Registration Fee Framework, and Petition Decision Timeline

---

Subject

The Board will conduct a continued public hearing regarding three proposed administrative amendments to Article XVIII (Rent Control) of the Santa Monica City Charter and determine whether to recommend one or more of the proposed amendments to the Santa Monica City Council for placement on the November 2026 ballot.

Summary

At its April 9, 2026 meeting, the Board reviewed four proposed Charter amendments developed by the Charter Amendment Subcommittee and directed staff to return with the proposals for public hearing. At its May 14, 2026 meeting, the Board opened the public hearing on the proposed amendments and also heard a presentation from the City Attorney's Office regarding separate tenant-protection proposals that may warrant parallel amendments to Article XVIII.

Following the May 14 discussion, the Board continued the public hearing and directed staff to reconvene the Charter Amendment Subcommittee to review the City Attorney's Office proposals and related Article XVIII issues. The Subcommittee met on May 26, 2026 and agreed that the three Board-originated administrative amendments should return to the Board at the June 11 regular meeting for continued public hearing and possible recommendation to the City Council. The tenant-protection proposals will be addressed separately as an administrative item and may return for public hearing at a future Board meeting.

The three proposed administrative amendments before the Board at this meeting concern:

- Commissioner term limits;
- Registration fee framework; and
- Petition decision timeline.

These proposals are intended to provide targeted updates to improve clarity, administrative efficiency, fiscal stability, and consistency with current operational practices while preserving

the broader structure of Article XVIII. They do not address the separate tenant-protection proposals currently under review.

Discussion

In November 2026, the City of Santa Monica will hold a general municipal election. The Rent Control Board may recommend Charter amendments to the Santa Monica City Council for placement before voters. Staff's current target is to have any Board-recommended Charter amendments ready for City Council consideration at its July 14, 2026 meeting.

The full text of each proposed administrative amendment, along with redlined versions reflecting the proposed changes to the current Charter language, are attached to this report for public review.

1. Commissioner Term Limits (Section 1803(e))

This amendment would revise Section 1803(e) to allow Commissioners to serve a maximum of three terms, whether consecutive or non-consecutive, and clarify that appointed terms count toward the overall limit. The proposed language would also provide that a partial term of more than two years counts as one term.

The proposal would align Board term limits more closely with broader City Charter provisions while preserving the Board's existing four-year term structure. It would also remove obsolete transitional language related to the first Commissioners elected after the original adoption of Article XVIII.

2. Registration Fee Framework (Section 1803(n))

This amendment would revise the Board's registration fee framework by:

- retaining the current maximum allowable fee of $288 per controlled rental unit;
- clarifying that the maximum allowable fee is a cap rather than the actual fee charged;
- preserving the Board's annual discretion to set the registration fee below the cap;
- maintaining the existing tenant pass-through framework;
- preserving the Board's authority to request and receive funding from other available sources when necessary; and
- establishing annual CPI-based adjustments to the maximum allowable fee beginning in 2028, subject to a five percent annual cap and no annual decreases.

The proposal is intended to preserve long-term fiscal stability and reduce the need for future Charter amendments related solely to inflationary adjustments. The amendment would not itself set the annual registration fee at the maximum amount. The Board would continue to determine the actual annual fee through its regular budget and fee-setting process.

3. Petition Decision Timeline Clarification (Section 1805(d)(12))

This amendment would clarify that Board rules and regulations govern petition processing timelines, including the general timeframe for final action and circumstances where extensions may be permitted for good cause.

The amendment is intended to reflect the Board's longstanding regulatory framework and clarify that procedural timelines are administered through Board regulations. The proposed language preserves the 120-day final-action framework while recognizing that limited extensions may be necessary for good cause.

Relationship to Tenant-Protection Proposals

The Board is also considering separate tenant-protection proposals concerning just-cause eviction protections under Article XVIII. Those proposals are being reviewed separately in light of the City Attorney's Office presentation at the May 14 meeting and subsequent Subcommittee discussion. Those items are being considered separately for possible public hearing. Separating the administrative proposals for consideration at this meeting allows the Board to maintain progress on items that are already developed while preserving additional review time for the more substantive tenant-protection proposals.

Recommendation

Conduct the continued public hearing, receive public testimony, close the public hearing as to the proposed amendments concerning Commissioner term limits, the registration fee framework, and petition decision timeline, and determine whether to recommend one or more of those proposed amendments to the Santa Monica City Council for placement on the November 2026 ballot.

Attachment A: Proposed Amendment – Commissioner Term Limits (Clean)

Attachment B: Proposed Amendment – Commissioner Term Limits (Redline)

Attachment C: Proposed Amendment – Registration Fee Framework (Clean)

Attachment D: Proposed Amendment – Registration Fee Framework (Redline)

Attachment E: Proposed Amendment – Petition Decision Timeline Clarification (Clean)

Attachment F: Proposed Amendment – Petition Decision Timeline Clarification (Redline)

Attachment A
Term limits - clean

Section 1803(e):

TERM OF OFFICE: Commissioners shall be elected to serve terms of four years, beginning on the first Tuesday following their election. No person shall serve more than three terms as a Commissioner, whether consecutive or not. For purposes of this section, a partial term of more than two years shall count as one term. These term limits shall apply to appointed terms as well as elected terms.

Attachment B
Term limits - redline

Section 1803(e):

TERM OF OFFICE: Commissioners shall be elected to serve terms of four years, beginning on the first Tuesday following their election~~, except that of the first five Commissioners elected in accordance with Section 1803(d), the two Commissioners receiving the most votes shall serve until April 15, 1985 and the remaining three Commissioners shall serve until April 18, 1983. Commissioners shall serve a maximum of two full terms.~~ No person shall serve more than three terms as a Commissioner, whether consecutive or not. For purposes of this section, a partial term of more than two years shall count as one term. These term limits shall apply to appointed terms as well as elected terms.

Section 1803(n):

FINANCING OF BOARD OPERATIONS. The Board shall finance its reasonable and necessary expenses through annual registration fees and other available funding sources, as provided in this subsection.

(1) Registration Fee Authority. The Board may charge landlords an annual registration fee for each controlled rental unit. The amount of the registration fee shall be determined by the Board.

(2) Maximum Allowable Fee. The registration fee established by the Board shall not exceed the maximum annual registration fee allowable under this subsection, initially set at two hundred eighty-eight dollars ($288) per controlled rental unit. The maximum annual registration fee allowable under this subsection establishes a limit and does not itself establish the amount of the fee to be charged.

(3) Tenant Pass-Through. Up to fifty percent (50%) of the registration fee may be passed through from landlords to tenants, subject to conditions and procedures established by the Board.

(4) Additional Funding Sources. The Board may also request and receive funding, when necessary, from any available source for its reasonable and necessary expenses.

(5) Adjustment of Maximum Allowable Fee. Beginning with the 2028 calendar year, the maximum annual registration fee allowable under this subsection shall be adjusted annually to reflect the percentage change in the Consumer Price Index for All Urban Consumers (CPI-U) for the Los Angeles region, as published by the United States Bureau of Labor Statistics, for the preceding calendar year. No adjustment shall result in a decrease to the maximum annual registration fee allowable under this subsection or exceed five percent (5%) in any single year.

(6) Notice of Adjustment. The Board shall announce any adjustment to the maximum annual registration fee allowable under this subsection on or before March 15 of each year in which an adjustment is made.

(7) Board Discretion. Nothing in this subsection shall be construed to require the Board to charge the maximum annual registration fee allowable under this subsection in any year.

Section 1803(n):

~~FINANCING: The Board shall finance its reasonable and necessary expenses by charging landlords annual registration fees in amounts deemed reasonable by the Board up to a maximum annual registration fee of $288 per controlled unit. Fifty percent (50%) of the amount of the registration fees may be passed through from landlords to tenants, and the Board may establish applicable conditions and procedures governing the pass through. The Board is also empowered to request and receive funding when and if necessary from any available source for its reasonable and necessary expenses.~~

FINANCING OF BOARD OPERATIONS. The Board shall finance its reasonable and necessary expenses through annual registration fees and other available funding sources, as provided in this subsection.

(1) Registration Fee Authority. The Board may charge landlords an annual registration fee for each controlled rental unit. The amount of the registration fee shall be determined by the Board.

(2) Maximum Allowable Fee. The registration fee established by the Board shall not exceed the maximum annual registration fee allowable under this subsection, initially set at two hundred eighty-eight dollars ($288) per controlled rental unit. The maximum annual registration fee allowable under this subsection establishes a limit and does not itself establish the amount of the fee to be charged.

(3) Tenant Pass-Through. Up to fifty percent (50%) of the registration fee may be passed through from landlords to tenants, subject to conditions and procedures established by the Board.

(4) Additional Funding Sources. The Board may also request and receive funding, when necessary, from any available source for its reasonable and necessary expenses.

(5) Adjustment of Maximum Allowable Fee. Beginning with the 2028 calendar year, the maximum annual registration fee allowable under this subsection shall be adjusted annually to reflect the percentage change in the Consumer Price Index for All Urban Consumers (CPI-U) for the Los Angeles region, as published by the United States Bureau of Labor Statistics, for the preceding calendar year. No adjustment shall result in a decrease to the maximum annual registration fee allowable under this subsection or exceed five percent (5%) in any single year.

(6) Notice of Adjustment. The Board shall announce any adjustment to the maximum annual registration fee allowable under this subsection on or before March 15 of each year in which an adjustment is made.

(7) Board Discretion. Nothing in this subsection shall be construed to require the Board to charge the maximum annual registration fee allowable under this subsection in any year.

Attachment E
Petition timeline - clean

Section 1805(d)(12):

TIME FOR DECISION: The rules and regulations adopted by the Board shall provide for final action on any individual rent adjustment petition within one-hundred and twenty (120) days, following the date of filing of the individual rent adjustment petition, allowing for extensions of the timeline for good cause.

Attachment F
Petition timeline - redline

Section 1805(d)(12):

TIME FOR DECISION: The rules and regulations adopted by the Board shall provide for final action on any individual rent adjustment petition within one-hundred and twenty (120) days, following the date of filing of the individual rent adjustment petition, allowing for extensions of the timeline for good cause.

City of
Santa Monica®

Rent Control Board
1685 Main Street, Rm. 202
Santa Monica, CA 90401
Phone: 310-458-8751

June 29, 2026

Mayor Caroline Torosis and Members of the City Council
1685 Main Street, Room 209
Santa Monica, CA 90401

Re: Proposed Charter Amendments Concerning Tenant-Protection and Related Just-Cause Eviction Provisions

Dear Mayor and Councilmembers,

At its June 25, 2026 meeting, following a public hearing, the Santa Monica Rent Control Board voted to recommend that the City Council place proposed amendments to Article XVIII of the City Charter before the voters at the November 2026 general election.

The proposed amendments would:

1. Establish a small-rental-debt threshold, based on the average of HUD Small Area Fair Market Rents for equivalent-sized units in residential ZIP Codes located wholly or partially within the City, before nonpayment of rent may serve as a basis to terminate a rent-controlled tenancy;
2. Expand and clarify protections against termination of tenancy based on the addition of certain family members, dependents, minor children, and non-family household members, subject to applicable law, affordable-housing deed restrictions, notice and approval requirements, and lawful occupancy limits;
3. Protect certain covered occupants who have resided in a rental unit for at least one year from being displaced solely because the tenant of the owner vacates;
4. Add just-cause grounds and related notice provisions to address compliance with applicable affordable housing deed restrictions; and
5. Add a finding that Article XVIII is more protective than California Civil Code section 1946.2, in order to support continued application of the City's local just-cause framework to rent-controlled units.

The Board believes these amendments are in the public interest because they would strengthen tenant stability, reduce displacement based on relatively small rental debts or reasonable household changes, preserve protections for long-term occupants in appropriate circumstances, and support consistent enforcement of affordable housing eligibility requirements while maintaining safeguards for landlords, deed-restricted housing, and lawful occupancy limits.

Attachment A contains the clean Board-recommended proposed Charter amendment language. Attachment B contains a redline showing the proposed changes to current Article XVIII through strikeout and underline formatting. These attachments incorporate the revisions approved for recommendation by the Board at the June 25 public hearing and should be treated as the Board's recommended language.

The Board understands that final ballot structure and final measure language remain subject to City Attorney review and City Council consideration.

If there is anything the Board or staff can do to assist the Council in its consideration of these proposals, please let me know.

Sincerely,

Jonathan Holub

Jonathan Holub, Executive Director

cc: Oliver Chi, City Manager
Heidi Von Tongeln, City Attorney
Romy Ganschow, Chief Deputy City Attorney
Jonathan Erwin-Frank, Deputy City Attorney
Denise Anderson-Warren, City Clerk
Kevin Mitchell, General Counsel
Rent Control Board Commissioners

Proposed Amendment Concerning Small Rental Debts

Section 1806. <u>Eviction</u>

(a) No landlord shall take action to terminate any tenancy including but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit unless:

(1) The tenant has failed to pay the rent to which the landlord is entitled under the rental housing agreement and this Article, provided that the amount due exceeds the average of the Small Area Fair Market Rents set annually by the U.S. Department of Housing and Urban Development for equivalent sized rental units in the residential ZIP Codes located wholly or partially within the City of Santa Monica, and the written notice to the tenant terminating tenancy states the number of bedrooms in the tenant's rental unit and the applicable average Small Area Fair Market Rent amount for an equivalent sized rental unit.

Proposed Amendment Concerning Added Household Members

Section 1806. Eviction

(a) No landlord shall take action to terminate any tenancy including but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit unless:

. . .

(2) The tenant has continued, after written notice to cease, to commit a material and substantial breach of an obligation or covenant of his or her tenancy which the landlord has not waived, either expressly or impliedly through the landlord's conduct and which the landlord is not estopped from asserting, other than the obligation to surrender possession upon proper notice. Notwithstanding any contrary provision in this Section, and notwithstanding any contrary provision in the rental housing agreement, a landlord shall not take any action to terminate a tenancy, and there shall be no grounds to take action to terminate any tenancy, based on:

(A) a tenant's sublease of the unit if the following requirements are met:

(i) The tenant continues to reside in the rental unit.

(ii) The sublease replaces a departed tenant(s) under the rental agreement on a one-for-one basis.

(iii) The landlord has unreasonably withheld the right to sublease following written request by the tenant. If the landlord fails to respond to the tenant in writing within fourteen (14) days of receipt of the tenant's written request, the tenant's request shall be deemed approved by the landlord.

(B) occupancy of the rental unit by one or more additional persons in excess of the number of persons permitted by the rental housing agreement if the tenant of the owner has continuously resided in the rental unit for at least one year before the additional person begins residing in the rental unit, and each additional person is the spouse, domestic partner who has filed an Affidavit of Domestic Partnership with the City, parent, grandparent, child, grandchild, sibling, dependent of the tenant of the owner, or minor dependent of any additional person listed in this section, provided that the additional

person is not prohibited from occupying the rental unit by state or federal law or by an applicable affordable housing deed restriction. The tenant of the owner shall give written notice to the landlord within fourteen (14) days after the additional person begins residing in the rental unit, and stating that the additional person is a family member or dependent covered by this subparagraph.

(C) occupancy of the rental unit by any number of persons in excess of the number of persons permitted by the rental housing agreement if the excess occupancy results from the birth, adoption, or change of legal custody of a minor child or children for whom the tenant, or the tenant's spouse or domestic partner who has filed an Affidavit of Domestic Partnership with the City, is the parent or legal guardian, provided that the occupancy is not prohibited by state or federal law or by an applicable affordable housing deed restriction.

(D) occupancy of the rental unit by one or more additional persons in excess of the number of persons permitted by the rental housing agreement and such additional person intends to create a household with the tenant of the owner notwithstanding the fact that the additional person is not a family member or dependent of the tenant identified in subsection (B), if all of the following conditions are met:

(i) The tenant of the owner has continuously resided in the rental unit for at least one year before the additional person begins residing in the rental unit and continues to reside in the rental unit; and

(ii) The landlord has unreasonably withheld approval of the additional occupant following written request by the tenant of the owner. If the landlord fails to respond to the tenant in writing within fourteen (14) days of receipt of the tenant's written request for approval, the tenant's request shall be deemed approved by the landlord.

A landlord's denial of approval of an additional occupant shall be unreasonable if it is based on the additional occupant's lack of creditworthiness or financial criteria and the additional occupant will not be legally obligated to pay some or all of the rent to the landlord.

It shall not be unreasonable for a landlord to timely withhold approval of an additional occupant on the grounds that the landlord resides in the same rental unit as the tenant, that the proposed additional occupant is prohibited from occupying the rental unit by state or federal law or by the terms of an applicable affordable housing deed restriction, or on any other legitimate grounds.

Nothing in this subsection (a)(2) shall permit occupancy in excess of any maximum allowable occupancy established by law.

Proposed Amendment Concerning Family-Member Occupancy After Tenant Vacancy

Section 1806. <u>Eviction</u>

(c) Notwithstanding any contrary provision in this Section or in the rental housing agreement, if a covered occupant has lived in the rental unit for at least one year at the time the tenant of the owner vacates, the landlord is prohibited from taking any action to obtain possession of the rental unit from the covered occupant on the ground that the covered occupant is not authorized to occupy the rental unit, unless the reason for being unauthorized is that the covered occupant is not qualified or authorized to occupy the rental unit under the terms of an applicable affordable housing deed restriction.

For purposes of this subsection, "covered occupant" means any remaining occupant of the rental unit who is a dependent of the tenant of the owner, was authorized to reside in the rental unit under subsection (a)(2)(B) or (D), was otherwise authorized to reside in the rental unit by law, or is the minor dependent of any such person.

Proposed Amendment Concerning Affordable Housing Deed Restrictions

Section 1806. <u>Eviction</u>

(a) No landlord shall take action to terminate any tenancy including but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit unless:

. . .

(11) The tenant does not qualify for the rental unit under the terms of an applicable affordable housing deed restriction, or is causing a violation of the affordable housing deed restriction, and the landlord seeks in good faith to recover possession of the rental unit in order to comply with the applicable affordable housing deed restriction or guidelines, provided the landlord complies with all applicable regulations.

(12) The tenant of a rental unit subject to an affordable housing deed restriction has failed or refused to provide proof of income or other qualification for the rental unit, after written notice requesting such proof, where an applicable affordable housing deed restriction or applicable law requires the tenant to provide proof of income or other qualification in order to reside in the unit.

(b) Any written notice as described in Subsections (a)(2), (3), (6) or (12) shall be served by the landlord a reasonable period prior to serving a notice to terminate tenancy and shall inform the tenant that a failure to cure may result in the initiation of eviction proceedings. The Board may enact regulations regarding reasonable notice.

Proposed Amendment Concerning Tenant Protection Act Findings

Section 1822. <u>Tenant Protection Act Finding</u>

Whereas this Article limits the reasons for termination of a residential tenancy consistent with the provisions of California Civil Code section 1946.2; further limits the reasons for termination of a residential tenancy to a greater degree than California Civil Code section 1946.2; provides (in conjunction with implementing provisions of the Santa Monica Municipal Code) for higher relocation assistance amounts than California Civil Code section 1946.2; and provides additional tenant protections not prohibited by any other provision of law; this Article is found to be more protective than the provisions of California Civil Code section 1946.2, such that any rental unit subject to this Article is not subject to California Civil Code section 1946.2.

Proposed Amendment Concerning Small Rental Debts

Section 1806. Eviction

(a) No landlord shall take action to terminate any tenancy including but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit unless:

(1) The tenant has failed to pay the rent to which the landlord is entitled under the rental housing agreement and this Article., provided that the amount due exceeds the average of the Small Area Fair Market Rents set annually by the U.S. Department of Housing and Urban Development for equivalent sized rental units in the residential ZIP Codes located wholly or partially within the City of Santa Monica, and the written notice to the tenant terminating tenancy states the number of bedrooms in the tenant's rental unit and the applicable average Small Area Fair Market Rent amount for an equivalent sized rental unit.

Proposed Amendment Concerning Added Household Members

Section 1806. Eviction

(a) No landlord shall take action to terminate any tenancy including but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit unless:

. . .

(2) The tenant has continued, after written notice to cease, to commit a material and substantial breach of an obligation or covenant of his or her tenancy which the landlord has not waived, either expressly or impliedly through the landlord's conduct and which the landlord is not estopped from asserting, other than the obligation to surrender possession upon proper notice. Notwithstanding any contrary provision in this Section, and notwithstanding any contrary provision in the rental housing agreement, a landlord shall not take any action to terminate a tenancy, and there shall be no grounds to take action to terminate any tenancy, based on: ~~a tenant's sublease of the unit if the following requirements are met:~~

(A) a tenant's sublease of the unit if the following requirements are met:

(i) The tenant continues to reside in the rental unit.

(ii) The sublease replaces a departed tenant(s) under the rental agreement on a one-for-one basis.

(iii) The landlord has unreasonably withheld the right to sublease following written request by the tenant. If the landlord fails to respond to the tenant in writing within fourteen (14) days of receipt of the tenant's written request, the tenant's request shall be deemed approved by the landlord.

(B) occupancy of the rental unit by one or more additional persons in excess of the number of persons permitted by the rental housing agreement if the tenant of the owner has continuously resided in the rental unit for at least one year before the additional person begins residing in the rental unit, and each additional person is the spouse, domestic partner who has filed an Affidavit of Domestic Partnership with the City, parent, grandparent, child, grandchild, sibling, dependent of the tenant of the owner, or minor dependent of any

additional person listed in this section, provided that the additional person is not prohibited from occupying the rental unit by state or federal law or by an applicable affordable housing deed restriction. The tenant of the owner shall give written notice to the landlord within fourteen (14) days after the additional person begins residing in the rental unit, and stating that the additional person is a family member or dependent covered by this subparagraph.

(C) occupancy of the rental unit by any number of persons in excess of the number of persons permitted by the rental housing agreement if the excess occupancy results from the birth, adoption, or change of legal custody of a minor child or children for whom the tenant, or the tenant's spouse or domestic partner who has filed an Affidavit of Domestic Partnership with the City, is the parent or legal guardian, provided that the occupancy is not prohibited by state or federal law or by an applicable affordable housing deed restriction.

(D) occupancy of the rental unit by one or more additional persons in excess of the number of persons permitted by the rental housing agreement and such additional person intends to create a household with the tenant of the owner notwithstanding the fact that the additional person is not a family member or dependent of the tenant identified in subsection (B), if all of the following conditions are met:

(i) The tenant of the owner has continuously resided in the rental unit for at least one year before the additional person begins residing in the rental unit and continues to reside in the rental unit; and

(ii) The landlord has unreasonably withheld approval of the additional occupant following written request by the tenant of the owner. If the landlord fails to respond to the tenant in writing within fourteen (14) days of receipt of the tenant's written request for approval, the tenant's request shall be deemed approved by the landlord.

A landlord's denial of approval of an additional occupant shall be unreasonable if it is based on the additional occupant's lack of creditworthiness or financial criteria and the additional occupant will not be

legally obligated to pay some or all of the rent to the landlord.

It shall not be unreasonable for a landlord to timely withhold approval of an additional occupant on the grounds that the landlord resides in the same rental unit as the tenant, that the proposed additional occupant is prohibited from occupying the rental unit by state or federal law or by the terms of an applicable affordable housing deed restriction, or on any other legitimate grounds.

Nothing in this subsection (a)(2) shall permit occupancy in excess of any maximum allowable occupancy established by law.

Proposed Amendment Concerning Family-Member Occupancy After Tenant Vacancy

Section 1806. Eviction

(c) Notwithstanding any contrary provision in this Section or in the rental housing agreement, if ~~the tenant's spouse, child(ren), and/or domestic partner who has filed an Affidavit of Domestic Partnership with the City~~ a covered occupant ~~have~~ has lived in the rental unit for at least one year at the time the tenant of the owner vacates ~~the unit due to death or incapacitation~~, the landlord is prohibited from taking any action to obtain possession of the rental unit from the ~~tenant's spouse, child(ren), and/or registered domestic partner~~ covered occupant on the ground that the ~~spouse, child(ren) and/or registered domestic partner~~ covered occupant ~~are~~ is not authorized to occupy the rental unit, unless the reason for being unauthorized is that the covered occupant is not qualified or authorized to occupy the rental unit under the terms of an applicable affordable housing deed restriction.

For purposes of this subsection, "covered occupant" means any remaining occupant of the rental unit who is a dependent of the tenant of the owner, was authorized to reside in the rental unit under subsection (a)(2)(B) or (D), was otherwise authorized to reside in the rental unit by law, or is the minor dependent of any such person.

Proposed Amendment Concerning Affordable Housing Deed Restrictions

Section 1806. Eviction

(a) No landlord shall take action to terminate any tenancy including but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit unless:

. . .

(11) The tenant does not qualify for the rental unit under the terms of an applicable affordable housing deed restriction, or is causing a violation of the affordable housing deed restriction, and the landlord seeks in good faith to recover possession of the rental unit in order to comply with the applicable affordable housing deed restriction or guidelines, provided the landlord complies with all applicable regulations.

(12) The tenant of a rental unit subject to an affordable housing deed restriction has failed or refused to provide proof of income or other qualification for the rental unit, after written notice requesting such proof, where an applicable affordable housing deed restriction or applicable law requires the tenant to provide proof of income or other qualification in order to reside in the unit.

(b) Any written notice as described in Subsections (a)(2), (3), ~~or~~ (6) or (12) shall be served by the landlord a reasonable period prior to serving a notice to terminate tenancy and shall inform the tenant that a failure to cure may result in the initiation of eviction proceedings. The Board may enact regulations regarding reasonable notice.

Proposed Amendment Concerning Tenant Protection Act Findings

Section 1822. Tenant Protection Act Finding

Whereas this Article limits the reasons for termination of a residential tenancy consistent with the provisions of California Civil Code section 1946.2; further limits the reasons for termination of a residential tenancy to a greater degree than California Civil Code section 1946.2; provides (in conjunction with implementing provisions of the Santa Monica Municipal Code) for higher relocation assistance amounts than California Civil Code section 1946.2; and provides additional tenant protections not prohibited by any other provision of law; this Article is found to be more protective than the provisions of California Civil Code section 1946.2, such that any rental unit subject to this Article is not subject to California Civil Code section 1946.2.

Exhibit 2

Section 1801(o) shall be added to Article XVIII of the City Charter as follows:

1801 **Definitions.**

The following words or phrases as used in this Article shall have the following meanings:

. . .

(o) **Affordable housing deed restriction.** A deed restriction, regulatory restriction contained in an agreement with a government agency, or other recorded document restricting a rental housing unit for use and occupancy as affordable housing for persons and families of extremely low, very low, low, or moderate income, or an agreement that provides housing subsidies for affordable housing for persons and families for extremely low, very low, low, or moderate income, as defined in this code or comparable state or federal statutes.

Section 1803(e) of Article XVIII of the City Charter shall be amended to read as follows:

1803 **Permanent Rent Control Board.**

(e) **Term of Office.** Commissioners shall be elected to serve terms of four (4) years, beginning on the first Tuesday following their election. No person shall serve more than three terms as a Commissioner, whether consecutive or not. For purposes of this section, a partial term of more than two years shall count as one term. These term limits shall apply to appointed terms as well as elected terms.~~, except that of the first five (5) Commissioners elected in accordance with Section 1803(d), the two (2) Commissioners receiving the most votes shall serve until April 15, 1985 and the remaining three (3)~~

~~Commissioners shall serve until April 18, 1983. Commissioners shall serve a maximum of two full terms~~

Section 1803(n) of Article XVIII of the City Charter shall be amended to read as follows:

1803 **Permanent Rent Control Board.**

(n) **Financing of Board Operations.** The Board shall finance its reasonable and necessary expenses through annual registration fees and other available funding sources, as provided in this subsection.

(1) Registration Fee Authority. The Board may charge landlords an annual registration fee for each controlled rental unit. The amount of the registration fee shall be determined by the Board.

(2) Maximum Allowable Fee. The registration fee established by the Board shall not exceed the maximum annual registration fee allowable under this subsection, initially set at two hundred eighty-eight dollars ($288) per controlled rental unit. The maximum annual registration fee allowable under this subsection establishes a limit and does not itself establish the amount of the fee to be charged.

(3) Tenant Pass-Through. Up to fifty percent (50%) of the registration fee may be passed through from landlords to tenants, subject to conditions and procedures established by the Board.

(4) Additional Funding Sources. The Board may also request and receive funding, when necessary, from any available source for its reasonable and necessary expenses.

(5) Adjustment of Maximum Allowable Fee. Beginning with the 2028 calendar

year, the maximum annual registration fee allowable under this subsection shall be adjusted annually to reflect the percentage change in the Consumer Price Index for All Urban Consumers (CPI-U) for the Los Angeles region, as published by the United States Bureau of Labor Statistics, for the preceding calendar year. No adjustment shall result in a decrease to the maximum annual registration fee allowable under this subsection or exceed five percent (5%) in any single year.

(6) Notice of Adjustment. The Board shall announce any adjustment to the maximum annual registration fee allowable under this subsection on or before March 15 of each year in which an adjustment is made.

(7) Board Discretion. Nothing in this subsection shall be construed to require the Board to charge the maximum annual registration fee allowable under this subsection in any year.

~~**Financing.** The Board shall finance its reasonable and necessary expenses by charging landlords annual registration fees in amounts deemed reasonable by the Board with a maximum annual registration fee of up to two hundred eighty-eight dollars ($288.00) per controlled unit. Fifty (50) percent of the amount of the registration fees may be passed through from landlords to tenants, and the Board may establish applicable conditions and procedures governing the pass through. The Board is also empowered to request and receive funding when and if necessary from any available source for its reasonable and necessary expenses.~~

Section 1805(d)(12) of Article XVIII of the City Charter shall be amended to read as follows:

1805 **Individual and general adjustment of ceilings on allowable rents.**

(d) **Hearing Procedure.** The Board shall enact rules and regulations governing hearings and appeals of individual adjustment of ceilings on allowable rents which shall include the following:

. . .

(12) **Time for Decision.** The rules and regulations adopted by the Board shall provide for final action on any individual rent adjustment petition within one hundred and twenty (120) days, following the date of filing of the individual rent adjustment petition, allowing for extensions of the timeline for good cause.

Section 1806(a)(11) and 1806(a)(12) shall be added to Article XVIII of the City Charter as follows:

1806 **Eviction.**

(a) No landlord shall take action to terminate any tenancy including, but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any action to recover possession or be granted recovery of possession of a controlled rental unit except on one of the following grounds:

...

(11) The tenant does not qualify for the rental unit under the terms of an applicable affordable housing deed restriction, or is causing a violation of the affordable housing deed restriction, and the landlord seeks in good faith to recover possession of

the rental unit in order to comply with the applicable affordable housing deed restriction, regulations, or guidelines, provided the landlord complies with all applicable regulations and guidelines.

(12) The tenant of a rental unit subject to an affordable housing deed restriction has failed or refused to provide proof of income or other qualification for the rental unit, after written notice requesting such proof, where an applicable affordable housing deed restriction or applicable law, regulations, or guidelines require the tenant to provide proof of income or other qualification in order to reside in the unit.

Section 1806(b) of Article XVIII of the City Charter shall be amended to read as follows:

1806 **Eviction.**

(b) Any written notice as described in Subsections (a)(2), (3), ~~or~~ (6), or (12) shall be served by the landlord a reasonable period prior to serving a notice to terminate tenancy and shall inform the tenant that a failure to cure may result in the initiation of eviction proceedings. The Board may enact regulations regarding reasonable notice.

Section 1822 shall be added to Article XVIII of the City Charter as follows:

1822 **Tenant Protection Act Finding.**

Whereas this Article limits the reasons for termination of a residential tenancy consistent with the provisions of California Civil Code section 1946.2; further limits the reasons for termination of a residential tenancy to a greater degree than California Civil Code section 1946.2; provides (in conjunction with implementing provisions of the Santa Monica Municipal Code) for higher relocation assistance amounts than California Civil Code

section 1946.2; and provides additional tenant protections not prohibited by any other provision of law; this Article is found to be more protective than the provisions of California Civil Code section 1946.2, such that any rental unit subject to this Article is not subject to California Civil Code section 1946.2.

Section 2302(h) shall be added to Article XXIII of the City Charter as follows:

2302 **Definitions.**

The following words or phrases as used in this Article shall have the following meanings:

. . .

(h) Affordable housing deed restriction. A deed restriction, regulatory restriction contained in an agreement with a government agency, or other recorded document restricting a rental housing unit for use and occupancy as affordable housing for persons and families of extremely low, very low, low, or moderate income, or an agreement that provides housing subsidies for affordable housing for persons and families for extremely low, very low, low, or moderate income, as defined in this code or comparable state or federal statutes.

Section 2304(a)(10) and 2304(a)(11) shall be added to Article XXIII of the City Charter as follows:

2304 **Just cause for evictions—Notices to cease.**

(a) No landlord shall take action to terminate any tenancy in a noncontrolled rental unit including, but not limited, to making a demand for possession of a rental unit, threatening to terminate a tenancy, serving any notice to quit or other eviction notice or bringing any

action to recover possession or be granted recovery of possession of a controlled rental unit except on one of the following grounds:

...

(10) The tenant does not qualify for the rental unit under the terms of an applicable affordable housing deed restriction, or is causing a violation of the affordable housing deed restriction, and the landlord seeks in good faith to recover possession of the rental unit in order to comply with the applicable affordable housing deed restriction, regulations, or guidelines, provided the landlord complies with all applicable regulations and guidelines.

(11) The tenant of a rental unit subject to an affordable housing deed restriction has failed or refused to provide proof of income or other qualification for the rental unit, after written notice requesting such proof, where an applicable affordable housing deed restriction or applicable law, regulations, or guidelines require the tenant to provide proof of income or other qualification in order to reside in the unit.

Section 2304(b) of Article XXIII of the City Charter shall be amended to read as follows:

2304 **Just cause for evictions—Notices to cease.**

(b) Any written notice as described in Subsections (a)(2), (3), ~~or~~ (6), or (11) shall be served by the landlord a reasonable period prior to serving a notice to terminate tenancy and shall inform the tenant that a failure to cure may result in the initiation of eviction proceedings.

Section 2310 shall be added to Article XXIII of the City Charter as follows:

2310 **Tenant Protection Act Finding.**

Whereas this Article limits the reasons for termination of a residential tenancy consistent with the provisions of California Civil Code section 1946.2; further limits the reasons for termination of a residential tenancy to a greater degree than California Civil Code section 1946.2; provides (in conjunction with implementing provisions of the Santa Monica Municipal Code) for higher relocation assistance amounts than California Civil Code section 1946.2; and provides additional tenant protections not prohibited by any other provision of law; this Article is found to be more protective than the provisions of California Civil Code section 1946.2, such that any rental unit subject to this Article is not subject to California Civil Code section 1946.2.